

TAB 24



Board of Education Report

File #: Res-053-25/26, **Version:** 1

Agenda Date: 4/21/2026

In Control: Board of Education

Dr. Rivas, Ms. Griego - Protecting Proposition 98 Funding and the Constitutional Minimum Guarantee for Public Education (Res-053-25/26) (Waiver of Board Rule 72)

Whereas, The Proposition 98 minimum guarantee was established by California voters to ensure stable and protected funding for TK-14 education, and is recalculated annually based on updated economic and revenue data, creating a constitutional obligation for the State to provide additional funding when the guarantee increases;

Whereas, The Governor's Proposed 2026-27 State Budget estimates the 2025-26 Proposition 98 guarantee at \$121.4 billion but proposes to fund only \$115.9 billion, leaving \$5.6 billion owed to schools unappropriated and delaying this obligation to future years, increasing fiscal pressure and using education funding as a short-term budget solution;

Whereas, The State faces ongoing revenue volatility and projected multiyear budget deficits, and responsible fiscal planning requires addressing these challenges directly rather than deferring constitutionally required education funding obligations;

Whereas, The integrity of Proposition 98 depends on consistent and transparent application of its formulas, and prior efforts to delay, reclassify, or otherwise manipulate funding have raised concerns and prompted formal challenges to ensure schools receive the full funding required under law;

Whereas, The upcoming May Revision will incorporate updated revenue data that may further increase the Proposition 98 minimum guarantee, and it is essential that the State use this opportunity to fully appropriate all constitutionally required funding rather than continue to delay or withhold funds owed to public education;

Whereas, The Los Angeles Unified School District serves close to 400,000 students and relies on predictable state funding, and its 2025-26 Second Interim Financial Report projects structural deficits of \$1.309 billion in 2025-26, \$1.504 billion in 2026-27, and \$628 million in 2027-28, driven in large part by ongoing structural factors including enrollment trends and insufficient or delayed state funding;

Whereas, Fiscal uncertainty created by the State must not come at the expense of school employees, or the students they serve, and the District has a responsibility to protect its workforce and school communities while advocating for the full funding owed under Proposition 98; and

Whereas, The withholding or delay of Proposition 98 funding creates uncertainty for districts, increasing the risk of staffing reductions and program disruptions, while full and timely funding promotes stability and ensures students receive constitutionally guaranteed resources; now, therefore, be it

Resolved, That the Governing Board of the Los Angeles Unified School District supports the full appropriation and timely release of the \$5.6 billion Proposition 98 settle-up obligation, and urges the State to fully fund the minimum guarantee in the May Revision, recognizing these funds are constitutionally owed and should be made available without delay; and, be it finally

Resolved, That the Board hereby directs the Superintendent and the District's Office of Government Relations to transmit a copy of this Resolution to the Governor, the President pro Tempore of the Senate, the Speaker of the Assembly, the Chairs of the Senate and Assembly Budget and Education Committees, each member of the California State Legislature representing communities within Los Angeles Unified, and other relevant education stakeholders.